IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Arrangement*

CA(CAA)/28(CHE)2022

EPPINGER TOOLING ASIA PRIVATE LIMITED
CIN NO: U02922TZ2005PTC011780
S.F.No.345/2A-2B, Kondampatty Village,
Kinathukadavu, Pollachi Taluk,
Tamil Nadu – 641 202.

... First Applicant / Demerged Company

EPPINGER TECHNOLOGY ASIA PRIVATE LIMITED
CIN NO: U29309TZ2019PTC032289
S.F.No.345/2A-2B, Kondampatty Village,
Kinathukadavu, Pollachi Taluk,
Tamil Nadu – 641 202

... Second Applicant/ Resulting Company 1

EPPINGER GEAR TECHNOLOGY PRIVATE LIMITED
CIN NO: U29300TZ2020PTC034641
S.F.No.345/2A-2B, Kondampatty Village,
Kinathukadavu, Pollachi Taluk,
Tamil Nadu – 641 202

... Third Applicant/ Resulting Company 2

And
Their Respective Shareholder

Order Pronounced on ***1st of July 2022***

CORAM

Justice (Retd) S.RAMATHILAGAM, MEMBER (JUDICIAL)

ANIL KUMAR B, MEMBER (TECHNICAL)

For Applicant(s): *G.Sivashankaran,Advocate and S.Sathyaganesh, Advocate*

ORDER

Per: **ANIL KUMAR B, MEMBER (TECHNICAL)**

Under consideration is an application Viz., CA(CAA)/28(CHE)/2022 filed by the Applicant Companies, namely **EPPINGER TOOLING ASIA PRIVATE LIMITED** (for brevity "Demerged Company") **EPPINGER TECHNOLOGY ASIA PRIVATE LIMITED** (for brevity "Resulting Company 1 ") **EPPINGER GEAR TECHNOLOGY PRIVATE LIMITED** (for brevity "Resulting Company 2 ") and under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Arrangement (hereinafter referred to as the "SCHEME") proposed by the Applicant Companies. The said Scheme is also appended as "Annexure – 12" to the CA/CAA/28(CHE) 2022.

2. The Applicant Companies in this Company Application has sought for the following reliefs;

For Demerged Company:

EQUITY SHAREHOLDERS	SECURED CREDITORS	UNSECURED CREDITORS
To dispense with	Nil	To order for meeting

For Resulting Company 1:

EQUITY SHAREHOLDERS	SECURED CREDITORS	UNSECURED CREDITORS
To dispense with	Nil	To dispense with

For Resulting Company 2:

EQUITY SHAREHOLDERS	SECURED CREDITORS	UNSECURED CREDITORS
To dispense with	Nil	To dispense with

3. From the certificate of incorporation filed, it is evident that the Demerged Company is a Private limited company incorporated under the provisions of Companies Act, 1956 on 05.05.2005. The Authorized Share Capital of the Demerged Company is Rs.5,10,00,000/- divided into 1,10,000 equity shares of Rs.100/ (each and 4,00,000 Redeemable Preference Shares of Rs. 100/ each and the present issued, subscribed and paid-up capital of the Demerged Company is Rs.30,04,900/- divided into 30,049 equity shares of Rs.100/- each. The Demerged Company has 2 (Two) equity shareholders as on date.

4. From the certificate of incorporation filed, it is evident that the Resulting Company 1 is a Private limited company incorporated under the provisions of Companies Act, 2013 on 14.06.2019. The Present Authorized capital of Resulting Company 1 is Rs.3,25,00,000/- divided into 32,50,000 equity shares of Rs.10/ each and the present issued, subscribed and paid-up capital of the

Resulting Company 1 is Rs.20,000/- divided into 2,000 equity shares of Rs.10/- each. The e-Form SH-7 evidencing the increase in authorised capital of the Resulting Company 1 as filed with the Registrar of Companies, Coimbatore is filed herewith Annexure 3. The Resulting Company 1 has 3 (Three) equity shareholders as on date.

5. From the certificate of incorporation filed, it is evident that the Resulting Company 2 is a Private limited company incorporated under the provisions of Companies Act, 2013 on 26.09.2020. The present authorized capital of the Resulting Company 2 is Rs.3,25,00,000/- divided into 32,50,000 equity shares of Rs.10/ each and the present issued, subscribed and paid-up capital of the Resulting Company 2 is Rs.20,000/- divided into 2,000 equity shares of Rs. 10/- each. The e-Form SH-7 evidencing the increase in authorised capital of the Resulting Company 2 as filed with the Registrar of Companies, Coimbatore is filed herewith Annexure 6. The Resulting Company 2 has 2 (Two) equity shareholders as on date.

6. Affidavit in support of the above application was sworn for and behalf of the applicant Companies has been filed by Mr. R.Jagannathan in the capacity of Authorised Signatory for the Demerged Company, Resulting Company 1 & 2 along with the

application and it is also represented that the Registered office of the Demerged Company, Resulting Company 1 & 2 is situated at S.F.No.345/2A-2B, Kondampatty Village, Kinathukadavu, Pollachi Taluk, Coimbatore, Tamil Nadu- 641 202 within the territorial jurisdiction of the Bench of this Tribunal and falling within the purview of Registrar of Companies, Coimbatore.

7. **EPPINGER TOOLING ASIA PRIVATE LIMITED**
DEMERGED COMPANY

(i) There are 2 (Two) Equity Shareholders and list of shareholders to this effect is placed at page Nos 290 of the typed set filed with the application and consent affidavits given by both the equity shareholders is placed at page nos.291 to 300 of the typed set filed with the application and sought for dispensation with Conducting, holding and convening of meeting.

(ii) There are NIL Secured Creditors and the certificate issued by the Chartered Accountant to this effect is placed at Page No. 324 of the typed set filed along with the Application. Hence the necessity of Convening, holding and conducting the meeting does not arise.

(iii) There are 47 (Forty Seven) Unsecured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at Page Nos. 327 to 330 of the typed set filed with the application and sought for Convening, Holding and Conducting of the meeting.

8. **EPPINGER TECHNOLOGY ASIA PRIVATE LIMITED RESULTING COMPANY -1**

(i) There are 3 (Three) Equity Shareholders and the list of shareholders to this effect is placed at Page No. 301 of the typed set filed with the application and consent affidavits given by all the equity shareholders is placed at page nos.302 to 314 of the typed set filed with the application and sought for dispensation with Conducting, holding and convening of meeting.

(ii) There are NIL Secured Creditors and the certificate issued by the Chartered Accountant to this effect is placed at Page No. 325 of the typed set filed along with the Application. Hence the necessity of Convening, holding and conducting the meeting does not arise.

(iii) There are 2 (Two) Unsecured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at Page No. 331 of the typed set filed with the application and consent affidavits given by both the unsecured Creditors is placed at page nos.332 to 339 of the typed set filed with the application and sought for dispensation with Conducting, holding and convening of meeting.

9. **EPPINGER GEAR TECHNOLOGY PRIVATE LIMITED RESULTING COMPANY -2**

(i) There are 2 (Two) Equity Shareholders and list of shareholders to this effect is placed at page Nos 315 of the typed set filed with the application and consent affidavits given by both the equity shareholders is placed at page nos.316 to 323 of the typed set filed

with the application and sought for dispensation with Conducting, holding and convening of meeting.

(ii) There are NIL Secured Creditors and the certificate issued by the Chartered Accountant to this effect is placed at Page No. 326 of the typed set filed along with the Application. Hence the necessity of Convening, holding and conducting the meeting does not arise.

(iii) There are 2 (Two) Unsecured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at Page No. 340 of the typed set filed with the application and consent affidavits given by both the unsecured Creditors is placed at page nos.341 to 348 of the typed set filed with the application and sought for dispensation with Conducting, holding and convening of meeting.

10. We have perused the application and the connected documents / papers filed therewith including the Scheme contemplated by the Applicant companies.

11. The Applicant Companies has filed its Memorandum and Articles of Association *inter alia* delineating its object clauses as well as their last available Audited Annual Accounts of the Demerged, Resulting Company 1 & 2 for the year ended 21.11.2021, 30.11.2021 & 30.12.2021 respectively and Unaudited

Financial Statements of the Demerged, Resulting Company 1 & 2 for the period ended on 23.02.2022.

12. The Board of Directors of the Applicant Companies vide meeting held on 23rd February 2022 had unanimously approved the proposed Scheme as contemplated above and copies of resolutions passed thereon have been placed on record by the applicant companies.

13. The Appointed date as specified in the Scheme is 01.04.2022.

14. The Statutory Auditors of the Demerged Company and Resulting Company 1 & 2 have examined the Scheme in terms of provisions of Sec. 232 of Companies Act, 2013 and the rules made thereunder and certified that the Accounting Standards are in compliance with Section 133 of the Companies Act, 2013. The said Certificates of the Statutory Auditors in this regard is placed at "Annexure 27" (with respect to Demerged Company) "Annexure 28" (with respect to Resulting Company 1) and Annexure 29" (with respect to Resulting Company 2) filed in the typed set of Documents.

15. Taking into consideration the application filed by the Applicant Company and the documents filed therewith as well as

the position of law, this Tribunal propose to issue the following directions: -

A. IN RELATION TO THE DEMERGED COMPANY:

(i) **With respect to Equity shareholders:**

Since it is represented by the Demerged Company that there are 2 Equity Shareholders in the Company whose consents by way of Affidavits have been obtained from both the shareholders and are placed on record, the necessity of convening holding and conducting the meeting is ***dispensed with.***

(ii) **With respect to Secured Creditors:**

Since it is represented by the Demerged Company that there are NIL Secured Creditors in the Company, hence the necessity of Convening, holding and conducting a meeting does not arise.

(iii) **With respect to Unsecured Creditors:**

Meeting of the Unsecured Creditors of the Demerged Company is directed to be held on **16.08.2022 at 11:00 AM** at the Registered Office address of the Demerged Company or through video conferencing or if not convenient at any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this order and prior to the issue of notices.

B. IN RELATION TO THE RESULTING COMPANY 1:

(i) **With respect to Equity shareholders:**

Since it is represented by the Resulting Company 1 that there are 3 Equity Shareholders in the Company whose consents by way of Affidavits have been obtained from both the shareholders and are placed on record, the necessity of convening holding and conducting the meeting is ***dispensed with.***

(ii) **With respect to Secured Creditors:**

Since it is represented by the Resulting Company 1 that there are NIL Secured Creditors in the Company, hence the necessity of Convening, holding and conducting a meeting does not arise.

(iii) **With respect to Unsecured Creditors:**

Since it is represented by the Resulting Company 1 that there are 2 Unsecured Creditors in the Company whose consents by way of Affidavits have been obtained from both the Unsecured Creditors are placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with.***

C. IN RELATION TO THE RESULTING COMPANY 2:

(i) **With respect to Equity shareholders:**

Since it is represented by the Resulting Company 2 that there are 2 Equity Shareholders in the Company whose consents by way of Affidavits have been obtained from both the shareholders and are placed on record, the necessity of convening holding and conducting the meeting is ***dispensed with.***

(iii) **With respect to Secured Creditors:**

Since it is represented by the Resulting Company 2 that there are NIL Secured Creditors in the Company, hence the necessity of Convening, holding and conducting a meeting does not arise.

(iv) **With respect to Unsecured Creditors:**

Since it is represented by the Resulting Company 2 that there are 2 Unsecured Creditors in the Company whose consents by way of Affidavits have been obtained from both the Unsecured Creditors are placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with***

16. The quorum for the meeting of the Unsecured Creditors of the Demerged Company shall be as follows;

S.No	CLASS	QUORUM
1	UNSECURED CREDITORS	5

i) The Chairperson appointed for the above said meetings shall be **Mrs. Suryakala Selvaraj Advocate, Coimbatore** *failing her Mr.A.John Manoj, Practising Company Secreatary (PCS).*

ii) **Ms. Monika Nagaraj,** Practising Company Secretary is appointed as a Scrutinizer for the above said meetings. The Chairperson(s) will file the reports of the meeting

within a week from the date of holding of the above said meetings.

iii) In case the quorum as noted above, for the above meeting of the Applicant Companies is not present at the meeting, then the meeting shall be adjourned by half an hour, and thereafter the person(s) present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting, is filed with the registered office of the applicant companies at least 48 hours before the meeting. The Chairperson and Alternate Chairperson appointed herein along with Scrutinizer shall ensure that the proxy registers are properly maintained. However, every endeavour should be made by the applicant companies to attain at least the quorum fixed, if not more in relation to approval of the scheme.

iv) The meetings shall be conducted as per applicable procedure prescribed under the MCA Circular MCA General Circular Nos. (i) 20/2020 dated 5th May, 2020 (AGM Circular), (ii) 14/2020, dated 08.04.2020 (EGM Circular-I) and (iii) 17/2020 dated 13.04.2020 (EGM Circular-II);

v) That individual notices of the above said meetings shall be sent by the Applicant Company through registered post or speed post or through courier or e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, the place and the time as

aforesaid, together with a copy of Scheme, copy of explanatory statement, required to be sent under the Companies Act, 2013 and the prescribed form of proxy shall also be sent along and in addition to the above any other documents as may be prescribed under the Act or rules may also be duly sent with the notice.

vi) That the Applicant Company shall publish advertisement with a gap of atleast 30 clear days before the aforesaid meetings, indicating the day, date and the place and time as aforesaid, to be published in the English Daily "*Business Standard*" (All India Edition), and "*Makkal Kural*" *Tamil* (Tamil Nadu Edition) in Vernacular stating the copies of Scheme, the Explanatory Statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provided free of charge at the registered office of the respective Applicant Companies.

vii) The Chairperson shall as aforestated be responsible to report the result of the meeting within a period of 3 days of the conclusion of the meeting with details of voting on the proposed scheme.

viii) The companies shall individually send notice to concerned Regional Director, MCA, Registrar of Companies Chennai, and the Income Tax Authorities, as well as other Sectoral regulators who may have significant bearing on the operation of the applicant companies or the Scheme *per se* along with copy of required documents and disclosures required under the provisions of Companies Act, 2013

read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

ix) The applicant companies shall further furnish copy of the Scheme free of charge within 1 day of any requisition for the Scheme made by every creditor or member of the applicant companies entitled to attend the meetings as aforesaid.

x) The Authorized Representative of the Applicant Companies shall furnish an affidavit of service of notice of meetings and publication of advertisement and compliance of all directions contained herein at least a week before the proposed meetings.

xi) All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicants.

17. The Applications stand **allowed** on the aforesaid terms.

-SD-

ANIL KUMAR B
MEMBER (TECHNICAL)

-SD-

Justice (Retd) S.RAMATHILAGAM,
MEMBER (JUDICIAL)